SCHMIDT
LAW CORPORATION

VIA ECF
Hon. Brian M. Cogan
United States District Court
Eastern District of New York
225 Cadman Plaza East
Brooklyn, New York 11201

March 24, 2026

RE: *Moore, et al. v. Rubin*, No. 1:17-cv-06404-BMC-CLP
Response to March 17 Letters re Dkt. 519, 520, 521

Dear Judge Cogan:

I write on behalf of Plaintiff Mia Lytell in response to the letters filed by Pravati Investment Fund IV, LP ("Pravati") (Dkt. 519) and Balestriere PLLC d/b/a Balestriere Fariello ("Balestriere") (Dkt. 520). Both ask this Court to escrow the $3,850,000 jury award—together with post-judgment interest of approximately $269,000 accrued since the April 13, 2022 judgment, for a combined total exceeding $4.1 million—to protect a fee interest that cannot exceed $1,540,000 under any reading of the engagement agreement.

The request fails on its own terms. The engagement agreement's fee schedule contains no provision for post-trial recovery, and even if it did, this Court's $4,830,148.15 fee award exceeds Balestriere's maximum contingency under any reading. Balestriere's charging lien attaches to the statutory fee award—not to the jury award. The jury award is not, and has never been, subject to Balestriere's fee interest.

Pravati's position is weaker still. Pravati is Balestriere's creditor, not counsel to any Plaintiff. In May 2025, Pravati's own senior legal counsel wrote to Plaintiff Natasha Tagai assuring her that "Pravati will not seek to recover one penny from your rightful recoveries." Pravati followed that representation with action: by June 2025, it had formally withdrawn the UCC liens it had filed against the Plaintiffs and served Ms. Tagai a signed lien removal notice. Pravati cannot now ask this Court to freeze the jury award it disclaimed and whose liens it withdrew.

For these reasons, and those set forth below, Pravati's and Balestriere's requests should be denied and the full $4.1 million released to Plaintiffs immediately.[1]

The Engagement Agreement Entitles Balestriere to the Statutory Fee Award—Not the Jury Award

The engagement agreement gives Balestriere two options at its sole discretion: a "Success Fee" calculated on the Recovery, or the statutory attorneys' fee award. (Dkt. 453-2 at 3–4.) It cannot take both, and the Success Fee does not apply here in any event.

The Success Fee schedule sets out three tiers based on when the case is resolved: 35% "if the case is resolved before the filing of any documents"; 37.5% "if the case is resolved after the filing of any documents . . . but before the trial stage"; and 40% "if the case is resolved ***before*** the trial stage." (Dkt. 453-2 at 3 (emphasis added).) The agreement defines the "trial stage" as "the time after [the Firm has] taken any steps of any kind actually preparing for trial . . . and either (1) upon the completion of discovery . . . or (2) after litigation and resolution of motions for summary judgment." (*Id.*) This case was not resolved before the trial stage. It was tried to a jury verdict. The engagement agreement contains no Success Fee percentage for post-trial recovery. Balestriere's only available election is the statutory attorneys' fee award. The plain reading of this structure is coherent: the tiered percentages allow counsel to capture fair value from an early settlement—a decision that belongs to the clients—while the statutory fee election ensures full compensation when a case is litigated to judgment, where the lodestar will invariably exceed any percentage-based fee.[2]

Even setting that issue aside, the arithmetic forecloses any claim on the jury award. Under option (i), the highest possible Success Fee—40% of the jury award—is $1,540,000. Under option (ii), Balestriere takes the $4,830,148.15 fee award and Plaintiffs receive their jury award in full. While Pravati contends that the Success Fee applies to the entire "Recovery"—both the $3,850,000 jury award and the $4,830,148.15 fee award combined—the arithmetic forecloses any claim on the jury award even under that reading: 40% × $8,680,148 = $3,472,059, still less than the $4,830,148.15 fee award. Under Pravati's own math, the fee award covers the contingency entirely, and the jury award remains untouched.

There is no scenario under which Balestriere's fee claim requires withholding any portion of the $3,850,000 jury award. This Court applied the § 1988 lodestar framework — including

[1] A third letter (Dkt. 521) was filed on March 18, 2026 by Yifat V. Schnur, a former defendant in this action, claiming a potential interest in the bond proceeds based on pending, unjudged claims she holds against the Plaintiffs. Ms. Schnur does not seek immediate relief and concedes she has no judgment. A pending claim is not a lien, and an unresolved action creates no cognizable interest in a supersedeas bond. Her letter requires no further response from Plaintiff Lytell at this time.

[2] Even if the omission of a post-trial tier were a drafting error, the Firm cannot benefit from its own failure to correct the agreement over nearly five years of litigation—particularly when the $4,830,148.15 fee award already exceeds its maximum contingency under any reading.

Arbor Hill and the *Johnson* factors — in calculating the fee award in this case. (Dkt. 466.) The same body of law governs the interaction between that award and counsel's contingency arrangement. The Second Circuit has held that, to the extent counsel receives payment of a statutory fee award, "his claim for services rendered under his contingency fee arrangement with his client shall be deemed paid and satisfied." *Wheatley v. Ford*, 679 F.2d 1037, 1041 (2d Cir. 1982). Courts in this Circuit have consistently rejected double recovery where both a fee-shifting statute and a contingency arrangement are at play. *See Wright v. City of New York*, 283 F. Supp. 3d 98, 107 (S.D.N.Y. 2017); *Laster v. Cole*, No. 99-CV-2837, 2000 WL 863463, at *2 (E.D.N.Y. June 23, 2000) ("this form of double recovery unnecessary");* see also Gisbrecht v. Barnhart*, 535 U.S. 789, 807 (2002) (requiring "independent check" to ensure fee arrangements "yield reasonable results").

The charging lien under New York Judiciary Law § 475 asserted by Balestriere (Dkt. 520) therefore attaches to the statutory fee award—which is already subject to Judge Beckerman's order directing turnover to bankruptcy counsel's escrow, *see* Dkt. 520-1—not to the jury award. The jury award has never been subject to Balestriere's fee interest.

<u>The Fee Appeal Does Not Create Genuine Risk</u>

The jury award itself is no longer at risk. The Second Circuit affirmed the $3,850,000 verdict in full. (*See* Mandate (Dkt. 514).) The only pending appeal is No. 25-613, in which Rubin challenges the attorneys' fee award on abuse-of-discretion grounds—specifically contesting the Court's rate methodology and lodestar calculations. He does not seek full vacatur. The Second Circuit reviews fee awards for abuse of discretion—the most deferential standard of appellate review. This Court's award is well within that discretion. The Court conducted a methodical lodestar analysis under the *Lilly* and *Arbor Hill* framework, adopted Judge Block's inflation-adjusted rate ranges from *Rubin v. HSBC*, verified that Plaintiffs' claimed rates were consistent with what their attorneys charge paying clients, and applied the *Johnson* factors to a case the Court itself described as among "the most intensively litigated civil cases that I have handled."[3] (Dkt. 466 at 7.) The result was already a 45% reduction from the amount sought—from $8,793,940.80 to $4,830,148.15.

For Balestriere's contingency election to become relevant to the jury award at all, the Court of Appeals would need to reduce this already-conservative award by an additional 68%—from $4,830,148.15 to below $1,540,000. That would require the Second Circuit to find that a district judge abused his discretion by awarding too much in a case he found presented "untested legal and factual issues," generated sixteen published decisions, and fell in the "top echelon" of complexity—after that judge had already cut the request nearly in half. (Dkt. 466 at 7–8.) That

[3] *See Lilly v. City of New York*, 934 F.3d 222 (2d Cir. 2019); *Arbor Hill Concerned Citizens Neighborhood Ass'n v. County of Albany*, 522 F.3d 182 (2d Cir. 2008); *Rubin v. HSBC Bank USA, NA*, 2025 WL 248253 (E.D.N.Y. Jan. 21, 2025).

outcome is not plausible on an abuse-of-discretion challenge to a lodestar calculation, and it is not a basis on which to withhold the jury award from trafficking victims while the appeal runs its course.

Pravati Has Already Disclaimed Any Interest in the Jury Award

Pravati is Balestriere's creditor—not a party to this action and not counsel to any Plaintiff. This Court previously denied Pravati's motion to intervene on precisely this basis, finding that Pravati's interests "are more than adequately protected by the bankruptcy court." (Dkt. 502 at 3–4.)

Pravati has also disclaimed any interest in the jury award directly. In a May 15, 2025 email to Plaintiff Natasha Tagai, Pravati's senior legal counsel wrote (*see* Dkt. 524-2, Email from T. Roberts to N. Tagai (May 15, 2025)): "Pravati is not seeking any recovery from an award that you receive. The liens are designed to protect Pravati's interests in any fees sought by John Balestriere, his firm, or any related person or entity." He invited Ms. Tagai to "keep this email to show that Pravati will not seek to recover one penny from your rightful recoveries." Pravati followed that representation with action: in June 2025, it formally withdrew the two UCC financing statements it had filed in Florida listing Ms. Tagai as a debtor and served her with a signed lien removal notice referencing this case by name. (*See* Dkt. 524-2, Lien Removal Notice from T. Roberts to N. Tagai (June 16, 2025).)

In any event, as Balestriere's creditor, Pravati stands in no better position than Balestriere itself—and as shown above, Balestriere's fee interest is fully satisfied by the statutory fee award. Pravati cannot represent to a trafficking victim in writing that it will not touch her jury award, withdraw the liens it filed against her, and then ask this Court to freeze that same award indefinitely. Its request should be denied.

These Are the Plaintiffs the TVPA Was Written For

This Court described these clients as "vulnerable and desperate people with limited ability to see much beyond the moment" who were "ripe for the taking." *Moore v. Rubin*, No. 1:17-cv-06404-BMC-CLP, Dkt. 425 at 13 (E.D.N.Y. Mar. 20, 2024). They prevailed at trial, survived appeal, and are entitled to the jury award they won in 2022. A dissolved law firm's creditor—one that has already disclaimed and formally withdrawn any claim against these plaintiffs' recoveries—has no legitimate basis to freeze that award pending a fee dispute the math resolved long ago.

For the foregoing reasons, Plaintiff Lytell respectfully requests that the Court order immediate release of the full jury award and accrued post-judgment interest—now exceeding $4.1 million—to Plaintiffs. Balestriere's fee interest is fully satisfied by the $4,830,148.15 statutory attorneys' fee award already directed to bankruptcy escrow, and no portion of the jury award should be withheld.

Respectfully submitted,

Matthew W. Schmidt

cc: All counsel of record (via ECF)